RUDRA GREEN SHIP RECYCLING LIMITED

MATERIALITY POLICY

Schedule VI of the Securities and Exchange Board of India (Issue of Capital and Disclosure Requirements) Regulations, 2018

CIN: U74999GJ2018PLC102791

Registered Office: BL D-60, Kaliabid Shivana, Kadiabid Nr Wahghavay, Bhavnagar Bharatnagar, Bhavnagar, Bhavnagar, Gujarat, India, 364002.

MATERIALITY POLICY

INTRODUCTION

This policy ("**Policy**") has been formulated to define the respective materiality policies of Rudra Green Ship Recycling Limited ("**Company**"), pursuant to the disclosure requirements under Schedule VI of the Securities and Exchange Board of India (Issue of Capital and Disclosure Requirements) Regulations, 2018 (as amended from time to time) ("**SEBI ICDR Regulations**"), in respect of the following:

A. Identification of material companies to be disclosed as Group Companies in the Offer Documents (as defined hereinafter);
B. Identification of 'material' outstanding litigation (excluding disciplinary actions against the promoters/directors, criminal proceedings, statutory/regulatory actions and taxation matters) involving the Company, its Promoters and Directors (collectively, the "**Relevant Parties**"); and
C. Identification of 'material' creditors and outstanding dues therein.

APPLICABILITY

The board of directors of the Company ("**Board**") at their meeting held on September 16, 2026 discussed and approved this Policy. This Policy shall be effective from the date of approval of Policy by the Board.

In this Policy the term "**Offer Documents**" shall mean the draft red herring prospectus ("**DRHP**"), the red herring prospectus ("**RHP**") and the prospectus ("**Prospectus**") and any addendum or corrigendum thereto, to be filed and/ or submitted by the Company in connection with the proposed initial public offering of its equity shares with the Securities and Exchange Board of India ("**SEBI**"), the Registrar of Companies, Gujarat at Ahmedabad (**"RoC"**), and/or the stock exchanges where the equity shares of the Company are proposed to be listed, and/or any other authorities, regulatory or otherwise, as applicable.

A. Identification of material companies to be disclosed as group companies

Requirement:

The SEBI ICDR Regulations define "Group Companies" as *"such companies (other than promoter(s) and subsidiary(ies)) with which there were related party transactions, during the period for which financial information is disclosed, as covered under the applicable accounting standards, and also other companies as considered material by the board of the issuer".*

Therefore, as per the requirements of the SEBI ICDR Regulations, group companies shall include:

(i) companies with which there were related party transactions, during the period for which financial information is disclosed in the Offer Document(s), as covered under the Indian Accounting Standard (Ind AS) 24; and

(ii) any other company as may be identified as material by the Board.

The policy on identification of companies to be disclosed as group companies (other than those covered under Ind AS 24), as below, shall be disclosed in the Offer Documents.

Policy on Materiality:

With respect to point (ii), for the purpose of disclosure in the Offer Documents, a company shall be considered material and shall be disclosed as a 'Group Company' in the Offer Documents, if such company (a) is a member of the promoter group of the Company (as defined in the Regulation 2 (1) (pp) of the SEBI ICDR Regulations); and (b) with which there were transactions in the most recent financial year or stub period, if any, as set out in the Restated Financial Information are included in the Offer Document), ("**Test Period**") which individually or in the aggregate, exceed 10% of the total revenue of the Company for the Test Period.

B. Identification of 'material' litigation involving the Company, its promoters and its directors (excluding disciplinary actions against the promoters, criminal proceedings, statutory/regulatory actions and taxation matters)

Requirement:

As per the requirements of SEBI ICDR Regulations, the Company shall disclose the following outstanding litigations involving the Relevant Parties:

(i) All outstanding criminal proceedings (including any notices received for such criminal matters which are at first information report stage, even if no cognizance has been taken by any court). including all criminal proceedings involving Key Managerial Personnel and Senior Management of the Company. However, with respect to cases under Section 138 of the Negotiable Instruments Act, 1881, cases pertaining to labour disputes and cases under Motor Vehicle Act, 2019, involving our Company which are in the ordinary course of business, the aggregate number of cases and aggregate amount involved in such proceedings shall be disclosed in a generic manner without providing specific details;

(ii) All outstanding actions taken / penalties imposed by regulatory authorities and statutory authorities (including all penalties and notices) including all actions by statutory and/or regulatory authorities against the Key Managerial Personnel and Senior Management of the Company;

(iii) Disciplinary action including any penalty imposed and show cause notices issued by SEBI or stock exchanges against the Promoters in the last five financial years including outstanding action preceding the date of relevant Offer Documents and shall be disclosed in the Offer Documents including all penalties;

(iv) All outstanding claims related to direct and indirect taxes, in a consolidated manner, giving details of the number of cases and total amount; in the event any tax matters involve an amount exceeding the threshold proposed in point [v(b)] below, in relation to the Company, Promoters or the Directors individual disclosures of such tax matters will be included; and

(v) Other pending litigations based on lower of the threshold criteria mentioned below:

(a) As per the policy of materiality defined by the Board of Directors and disclosed in the Offer Documents; or

(b) Litigation where the value or expected impact in terms of value involved in such proceeding exceeds the lower of (A) 2% of the turnover of the Company for the latest financial year as per the Restated Financial Information; or (B) 2% of the net worth of the Company as at the end of the latest financial period as per the Restated Financial Information, except in case the arithmetic value of the net worth is negative; or (C) 5% of the average of the absolute value of the profit or loss after tax of the Company for the last three financial years as per the Restated Financial Information ("**Threshold**").

Further, as per the requirements of SEBI ICDR Regulations, the Company shall also disclose such outstanding litigation involving the group companies which has a material impact (as determined by the Board) on the Company.

Policy on Materiality:

For the point (v) above, any outstanding civil litigations/arbitration proceedings involving the Relevant Parties wherein the monetary impact is not quantifiable or does not exceed the Threshold shall be considered 'material' and shall be disclosed in the Offer Documents, if the outcome of such litigation could have a material adverse effect on the business, performance, prospects, operations, financial position or reputation of the Company.

Further, pending litigations where the decision in one litigation is likely to affect the decision in similar litigations which could either individually or collectively have a material adverse effect on the business, performance, prospects, operations, financial position or reputation of the Company, shall be disclosed in the Offer Documents, even though the amount involved in an individual litigation may not exceed the Threshold.

Pre-litigation notices received by the Relevant Parties from third parties (excluding those notices issued by governmental, statutory, tax or regulatory authorities or notices threatening criminal action) shall, in any event, not be considered as litigation until such time that Relevant Parties are impleaded as defendants/respondents in litigation/arbitration proceedings initiated before any judicial/arbitral forum, court, tribunal or governmental authority, or is notified by any governmental, statutory or regulatory authority of any such proceeding that may be commenced.

The above policy on materiality shall be without prejudice to any disclosure requirements, which may be prescribed under the Companies Act, 2013 and the rules thereunder with respect to disclosure of litigation, notices, disputes and other proceedings in the Offer Documents or by SEBI and/or such other applicable authority with respect to listed companies or disclosure requirements as may be prescribed by SEBI through its observations on the Offer Documents, or disclosures that may arise from any investor or other complaints. In this regard, it is clarified that the above policy on materiality is solely from the perspective of disclosure requirements prescribed under the SEBI ICDR Regulations with respect to the Offer Documents and should not be applied towards any other purpose.

Group Companies:

Any pending litigation (including civil litigations or arbitration proceedings) involving the group companies, as identified in accordance with provisions of SEBI ICDR Regulations would be considered to have a 'material impact' on the Company for the purpose of disclosure in the Offer Documents, if an adverse outcome from such pending litigation would materially and adversely affect the business, operations, cash flows, performance, prospects, financial position or reputation of the Company.

In relation to legal proceedings involving the group companies, a certificate will be obtained in relation to any pending litigation involving the group companies, the outcome of which could have a material impact on the Company or the Offer. Further, the board of the Company would pass a resolution taking on record such certificate provided by the group companies.

C. Identification of 'material' creditors

Requirement:

1. As per the requirements of the SEBI ICDR Regulations, the Company shall make relevant disclosures in the Offer Documents and on the website of the Company for outstanding dues to creditors (except banks and financial institutions from whom the Company has availed financing facilities) as follows:

(i) Based on the policy on materiality defined and adopted by the Board, details of the Company's creditors which include the consolidated number of creditors, and the aggregate amount involved, will be disclosed in the Offer Documents;
(ii) Consolidated information on outstanding dues to micro, small and medium enterprises and other creditors, separately giving details of number of cases and amount involved will be disclosed in the Offer Documents; and
(iii) Complete details about outstanding dues to material creditors along with the name and amount involved for each such material creditor shall be disclosed on the website of the Company with a web link thereto in the Offer Documents.

For outstanding dues to micro, small and medium enterprises ("**MSME**") and other creditors, the disclosure will be based on information available with the Company regarding the status of the creditors as MSME as defined under Section 2 of the Micro, Small and Medium Enterprises Development Act, 2006, as amended, as has been relied upon by the statutory auditors in preparing their audit report.

Policy on materiality:

For identification of material creditors (except banks and financial institutions from whom the Company has availed financing facilities), in terms of point (i) above, a creditor of the Company shall be considered to be material for the purpose of disclosure in the Offer Documents, if amounts due to such creditor is equivalent to or in excess of 5% of the restated trade payables of the Company as of the end of the most recent financial period covered in the restated financial information included in the Offer Documents.

GENERAL

It is clarified that the Policy is solely for the purpose of disclosure requirements prescribed under the SEBI ICDR Regulations with respect to the Offer Documents, and should not be applied towards any other purpose, including for disclosure of material information by listed entities pursuant to the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended.

The Policy shall be without prejudice to any disclosure requirements, which may be prescribed by SEBI and/ or such other regulatory, judicial, quasi-judicial, governmental, administrative or statutory authority with respect to listed companies or disclosure requirements as may be prescribed by SEBI through its observations on the Offer Documents, or disclosures that may arise from any investor or other complaints.

This Policy shall be subject to review/changes as may be deemed necessary and in accordance with regulatory amendments from time to time. All other capitalised terms not specifically defined in this Policy shall have the same meanings ascribed to such terms in the Offer Documents.

The absolute values of the thresholds mentioned above will be determined once the restated financial information are made available.

***

ANNEXURE A

Details in relation to Material Creditors of the Company as of March 31, 2026

(₹ in lakhs)

Name of the Material Creditor	Amount outstanding	Overdue period	Amount
GSPL DMCC	3,971.00	Less than 1 year	3,971.00
Total	**3,971.00**		3,971.00

Note: Threshold for Material Creditors – 5% of total trade payables of ₹ 4,165.30 lakhs, i.e. ₹ 208.26 lakhs.

ANNEXURE B

Details in relation to the outstanding dues to micro, small and medium enterprises as of March 31, 2026

(₹ in lakhs)

Number of creditors	Amount	Overdue period	Amount
2	0.76	Not overdue	Nil
		Less than 1 year	0.76
		1-2 years	Nil
		2-3 years	Nil
		More than 3 years	Nil
Total	**0.76**		**0.76**

RUDRA GREEN SHIP RECYCLING LIMITED
BHAVNAGAR